

1 ENGROSSED HOUSE
2 BILL NO. 4338

By: Moore, Newton, and Bashore
of the House

3 and

4 Green of the Senate
5
6

7 An Act relating to Oklahoma Brine Development Act;
8 making provisions applicable after certain date;
9 amending 17 O.S. 2021, Section 501, which relates to
10 purpose; modifying legislative intent; amending 17
11 O.S. 2021, Section 502, which relates to definitions;
12 updating definitions; defining terms; amending 17
13 O.S. 2021, Section 503, which relates to Corporation
14 Commission jurisdiction; modifying certain exception;
15 requiring inclusion of certain content in
16 applications; amending 17 O.S. 2021, Section 504,
17 which relates to unitization of brine rights;
18 requiring the filing of certain application; updating
19 statutory references; modifying description of
20 certain unit; amending 17 O.S. 2021, Section 506,
21 which relates to findings of the Commissioner;
22 modifying description of evidential findings;
23 modifying description of certain unit; requiring
24 orders remain applicable and serve as guidelines;
amending 17 O.S. 2021, Section 507, which relates to
delineation of unit area; modifying certain
description; removing single source of supply
requirement; authorizing produced water unit to be
certain size; limiting the source of supply;
authorizing Corporation Commission to make certain
determination; providing for the sharing and
allocation of extracted elements; requiring operator
maintain certain records; authorizing the commingling
of produced water; providing for determination of
gross production of extracted elements; amending 17
O.S. 2021, Section 508, which relates to plan of
unitization; modifying description of certain unit;
modifying plan requirements; modifying description of
certain owners; stating certain provisions to be
inapplicable to formation of a produced water unit;
authorizing possession and processing of produced

1 water if certain conditions are met; requiring filing
2 of application within specific time frame;
3 authorizing proposed operator to seek emergency
4 relief; requiring granting of relief upon certain
5 showing; granting proposed applicant right to collect
6 certain proceeds; requiring set royalty be held in
7 suspense until final order establishes unit;
8 detailing requirements for royalty rate; amending 17
9 O.S. 2021, Section 510, which relates to increase or
10 decrease of unit area size; modifying description of
11 certain unit; modifying required showing for increase
12 in existing unit size; amending 17 O.S. 2021, Section
13 516, which relates to pre-existing brine, solution
14 gas or brine and solution gas units; updating
15 statutory references; amending 17 O.S. 2021, Section
16 517, which relates to payment of proceeds; modifying
17 language to include produced water; modifying
18 information to be included with certain payments;
19 amending 17 O.S. 2021, Section 519, which relates to
20 notice to surface owner of intent to drill; stating
21 certain provisions to be inapplicable to formation of
22 a produced water unit; providing for codification;
23 and declaring an emergency.

24
BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 526 of Title 17, unless there is
created a duplication in numbering, reads as follows:

The amendatory provisions of this act shall apply to all brine
unitization applications filed with the Corporation Commission on or
after the effective date of this act, but not otherwise.

SECTION 2. AMENDATORY 17 O.S. 2021, Section 501, is
amended to read as follows:

1 Section 501. The Legislature finds that it is desirable and
2 necessary to authorize and provide for unitized management,
3 operation, and further development of brine and associated solution
4 gas, to the end that a greater ultimate recovery of brine and
5 solution gas may be had, waste prevented, and the correlative rights
6 of owners therein be protected. In addition, the Legislature also
7 finds that it is a desirable public policy and necessity to reduce
8 disposal of brine water, also referred to as "produced water", from
9 oil and gas operations, defined as "oil and gas produced water and
10 waste" by Section 86.7 of Title 52 of the Oklahoma Statutes, and
11 encourage reuse, recycling and reclaiming of said water and
12 extraction of its constituent elements included therein. It is
13 further found to be in the public interest to foster, encourage and
14 promote the development and production in the State of Oklahoma of
15 brine, produced water, and solution gas and to authorize and provide
16 for the operation and development of unitized brine, produced water,
17 and solution gas properties, and to authorize the Corporation
18 Commission to regulate brine, produced water utilized for the
19 purpose of extracting its constituent elements included therein, and
20 solution gas production. Produced water subject to the jurisdiction
21 of the Oil and Gas Produced Water and Waste Recycling and Reuse Act,
22 Section 86.6 et seq. of Title 52 of the Oklahoma Statutes, shall not
23 be governed by the Oklahoma Brine Development Act unless the
24 produced water is intended to be or is processed for the commercial

1 extraction and sale of constituent elements, or any one of them as
2 set forth in Section 86.8 of Title 52 of the Oklahoma Statutes.

3 SECTION 3. AMENDATORY 17 O.S. 2021, Section 502, is
4 amended to read as follows:

5 Section 502. As used in this act:

6 1. "Commission" ~~shall mean~~ means the Corporation Commission of
7 Oklahoma;

8 2. "Person" ~~shall include~~ means any individual, partnership,
9 corporation or association of whatever character;

10 3. ~~"Common source of supply"~~ Brine common source of supply
11 ~~shall include that~~ means the area which that is underlain, or which,
12 from geological or other scientific data, or from drilling
13 operations, or other evidence, appears to be underlain by a common
14 accumulation of brine; ~~provided, that, if.~~ If any such area is
15 underlain or appears from geologic or other scientific data, or from
16 drilling operations, or from other evidence to be underlain by more
17 than one common accumulation of brine separated from each other by a
18 strata of earth and not connected with each other, then such the
19 area, as to each said common accumulation of brine, shall be deemed
20 a separate brine common source of supply. In either circumstance of
21 a brine production unit or produced water unit, brine may be
22 produced from multiple common sources of supply from one or more oil
23 and gas wells or one or more brine wells, which shall all be
24 considered the common source of supply for purposes of this act.

1 Brine common source of supply specifically does not include or mean
2 "common source of supply" as that term is defined by Section 86.1 of
3 Title 52 of the Oklahoma Statutes;

4 4. "Brine" ~~shall mean~~ means subterranean saltwater and all of
5 its constituent parts and chemical substances therein contained,
6 including, but not limited to bromine, magnesium, potassium,
7 lithium, boron, chlorine, iodine, calcium, strontium, sodium,
8 sulphur, barium or other chemical substances produced with or
9 separated from ~~such~~ the saltwater, and prior to its extraction from
10 the ground, is the property of the owner of the surface estate, as
11 defined in paragraph 9 of Section 802 of Title 52 of the Oklahoma
12 Statutes. Brine produced as an incident to the production of oil or
13 gas, unless such brine is saved or sold for the purposes of removing
14 chemical substances therefrom, shall not be considered brine for the
15 purposes of this act. Gas, whether found in solution or otherwise,
16 shall not be included within the meaning of the term "brine";

17 5. "Brine owner" ~~shall mean~~ means any person entitled to share
18 in the proceeds from the sale of brine production or produced water,
19 or the constituent elements or reclaimed water which are recovered
20 from the brine production or produced water, or the effluent.
21 Pursuant to subsection C of Section 86.7 of Title 52 of the Oklahoma
22 Statutes, nothing contained in the Oil and Gas Produced Water and
23 Waste Recycling and Reuse Act shall be construed to prevent the
24 owner of the surface estate from being considered the brine owner;

1 6. "Brine well" means a well specifically drilled or operated
2 for the primary purpose of extracting brine and shall not include a
3 well drilled or operated for the primary purpose of producing oil or
4 gas;

5 7. "Solution gas" ~~shall mean~~ means all gas produced from brine
6 wells from the brine common source of supply within the brine
7 production unit area;

8 ~~7.~~ 8. "Solution gas owner" ~~shall mean~~ means any person entitled
9 to share in the proceeds from the sale of solution gas;

10 ~~8.~~ 9. "Owner" or "owners" means, unless a more specific term is
11 used, ~~shall mean~~ any person or entity who qualifies as either a
12 brine owner or a solution gas owner;

13 ~~9.~~ 10. "Operator" ~~shall mean~~ means a person who:

14 a. has the right to drill into and produce from any brine
15 common source of supply and to appropriate that
16 production, either for ~~himself,~~ the operator or for
17 ~~himself~~ the operator and others,

18 b. has the right to extract one or more of the
19 constituent elements of brine or produced water
20 produced as an incident to the production of oil and
21 gas, and

22 c. is authorized by the Commission to drill or extract
23 such constituent elements;

1 ~~10.~~ 11. "Effluent" ~~shall mean~~ means the liquid remaining after
2 extraction of the chemical substances from brine;

3 ~~11.~~ 12. "Brine production unit" ~~or "unit" shall mean~~ means each
4 separate specific area of land so designated by order of the
5 Commission for production of brine and associated solution gas ~~and~~
6 ~~the~~ from brine wells, including the related injection of effluent;

7 13. "Produced water unit" means the specific area of land so
8 designated by order of the Commission for the commercial extraction
9 and sale of constituent elements, or any one of the elements, or
10 reclaimed water, from produced water. The Commission, based upon
11 the facts and circumstances, shall determine the size and shape of
12 any produced water unit. Unless a larger size unit is determined to
13 be appropriate under the facts and circumstances, the produced water
14 unit shall be the same size and cover the same geographical area as
15 the spacing or drilling unit or horizontal spacing unit created
16 pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes, the
17 horizontal well unitization created pursuant to Section 87.9 of
18 Title 52 of the Oklahoma Statutes, or unitized management area
19 created pursuant to Sections 287.1 through 287.15 of Title 52 of the
20 Oklahoma Statutes, of the associated oil or gas well or wells from
21 which the produced water is derived. Each such produced water unit
22 shall be limited to the equivalent same brine common source or
23 sources of supply as the oil and gas common source or sources of
24 supply of the associated oil or gas well from which produced water

1 is being received for the extraction of constituent elements of such
2 brine, unless a different size unit is determined to be appropriate
3 under the facts and circumstances. A produced water unit may be
4 created for and limited to the extraction of a single constituent
5 element or multiple constituent elements. Multiple produced water
6 units may be created and exist for the produced water from the same
7 associated oil and gas well or wells, provided that the applicant
8 for each unit meets the definition of "operator" provided in this
9 section for the rights to each constituent element sought to be
10 unitized. Furthermore, an applicant may seek to create two or more
11 produced water units by and through the filing of a single
12 Commission cause. Where multiple proposed produced water units are
13 encompassed in a single cause, the applicant may prepare a single
14 form plan of unitization, which if approved by the Commission, shall
15 collectively apply to each individual produced water unit
16 encompassed by the single cause.

17 If the Commission has not previously established a drilling or
18 spacing unit for the oil or gas well or wells from which the
19 produced water is derived, the Commission shall in its discretion
20 determine the size and shape of the produced water unit, taking into
21 consideration all facts and circumstances including, but not limited
22 to, the economics of collection, transportation, and processing
23 produced water to recover any extracted constituent element.
24

1 ~~12.~~ 14. "Injection well" ~~shall mean~~ means a well authorized by
2 the Commission for the injection of effluent or other solutions; ~~and~~

3 ~~13.~~ 15. "Manufacture" ~~shall mean~~ means the complete process of
4 drilling, completing, equipping and operating production and
5 injection wells and of extracting and packaging brine;

6 16. "Oil or gas well" means a well drilled or operated for the
7 primary purpose of extracting oil or gas as those terms are defined
8 in Title 52 of the Oklahoma Statutes;

9 17. "Associated oil or gas production" means the oil or gas
10 produced from an oil and gas well from which produced water is
11 extracted as an incident to the production of the oil or gas and the
12 produced water is utilized for the purpose of extracting its
13 constituent elements therefrom;

14 18. "Constituent elements" means salts, metals, elements and
15 other mineralized substances that are naturally occurring and
16 dissolved, entrained or suspended in subterranean water in situ and
17 after extraction from the ground, suspended in the brine or produced
18 water, but specifically does not include skim oil or hydraulic
19 fracturing fluid;

20 19. "Extracted constituent element" means any constituent
21 element extracted from the produced water through reconditioning or
22 treating of the produced water by mechanical or chemical processes
23 which is saved and commercially utilized or sold;
24

1 20. "Produced water" means the subterranean salt water, and the
2 other liquid waste associated with, incidental to or extracted
3 during oil and gas drilling, completion or production process.

4 Produced water subject to the jurisdiction of the Oil and Gas
5 Produced Water and Waste Recycling and Reuse Act shall not be
6 governed by the Oklahoma Brine Development Act, unless the produced
7 water is intended to be or is processed for the commercial
8 extraction and sale of the constituent elements, or any one of them;

9 21. "Reclaimed water" means produced water that has been
10 reconditioned or treated by mechanical or chemical processes during
11 or after the extraction of one or more constituent elements for
12 commercial purposes. Reclaimed water specifically does not include
13 "recycled water" as that term is defined by Section 86.7 of Title 52
14 of the Oklahoma Statutes for purposes of the Oil and Gas Produced
15 Water and Waste Recycling and Reuse Act. A party who, for
16 commercial purposes, treats produced water by mechanical or chemical
17 process for the extraction of one or more constituent elements such
18 that the produced water becomes reclaimed water as defined herein
19 shall not be liable in tort or otherwise, before or after custody
20 transfer, for the use, handling, treatment or processing by another
21 party of such produced water or reclaimed water;

22 22. "Recycler" means a person approved and authorized by the
23 Commission who receives produced water, for the purpose of saving,
24

1 extracting, reconditioning or treating the same by mechanical or
2 chemical processes into a reusable form; and

3 23. "Recycling waste" means the noncommercial by-products or
4 residual liquids or solid materials which remain after the recycling
5 or extraction process.

6 SECTION 4. AMENDATORY 17 O.S. 2021, Section 503, is
7 amended to read as follows:

8 Section 503. A. The Corporation Commission is hereby vested
9 with jurisdiction over the following:

10 1. The drilling for ~~and~~ or production of brine for commercial
11 purposes;

12 2. Class V injection wells used for the injection or disposal
13 of mineral brines as defined in the federal Safe Drinking Water Act
14 and 40 CFR Part 146; and

15 3. Class V wells used to inject spent brine into the same
16 formation from which it was withdrawn after extraction of halogens
17 or their salts as defined in 40 CFR Part 146.

18 B. The Commission may promulgate ~~such~~ rules that:

19 1. ~~As are~~ Are reasonably necessary to effectuate the purposes
20 of this act, including rules governing the drilling of production,
21 injection or disposal wells and the injection of effluent into
22 underground formations; and

23 2. ~~To ensure~~ Ensure that the drilling, casing and plugging of
24 wells is done in such a manner as to prevent the escape of brine and

1 effluent from one formation to another and to prevent the pollution
2 of fresh water supplies throughout the state.

3 C. The enforcement and adherence to the Oklahoma Brine
4 Development Act shall not apply to nor shall the Corporation
5 Commission have jurisdiction over Class I, III, IV or V wells
6 regulated by the Department of Environmental Quality pursuant to the
7 federal Safe Drinking Water Act and 40 CFR Parts 144 through 148,
8 inclusive, and the Oklahoma Environmental Quality Act.

9 SECTION 5. AMENDATORY 17 O.S. 2021, Section 504, is
10 amended to read as follows:

11 Section 504. A. A party desiring to unitize brine or produced
12 water rights shall file with the Corporation Commission an
13 application setting forth a description of the proposed brine
14 production unit or produced water unit area with a map or plat
15 thereof attached. The application shall allege the existence of the
16 facts required to be found by the Commission as provided in Section
17 ~~7~~ 506 of this ~~act~~ title and allege that the party desiring to
18 unitize the brine or produced water rights meets the criteria of
19 subparagraphs a and b of paragraph 10 of Section 502 of this title.

20 The application shall set forth the name and address of each brine
21 owner within the area affected by the application. Each such person
22 shall be a respondent to the application. In an application to
23 enlarge the brine production unit or produced water unit area, brine
24

1 owners within the existing unit and brine owners in the area to be
2 added to the unit shall be respondents to the application.

3 B. In the event the brine ~~sought to be unitized~~ in a proposed
4 brine production unit is found in association with solution gas, the
5 application shall set forth the name and address of each solution
6 gas owner within the area affected by the application. Each such
7 person shall be a respondent to the application. In an application
8 to enlarge the brine production unit area, solution gas owners
9 within the existing brine production unit and solution gas owners in
10 the area to be added to the brine production unit shall be
11 respondents to the application.

12 C. Every application to establish a brine production unit or
13 produced water unit shall have attached thereto a recommended plan
14 of unitization applicable to the proposed unit area.

15 SECTION 6. AMENDATORY 17 O.S. 2021, Section 506, is
16 amended to read as follows:

17 Section 506. A. If, after proper application and notice, the
18 Corporation Commission in its hearing shall find by substantial
19 evidence that:

20 1. There exists a brine common source of supply or prospective
21 brine common source of supply for brine or produced water;

22 2. Unitized management, operation and further development of
23 the brine common source of supply for brine or produced water from
24 oil or gas wells is reasonably necessary in order to effectively

1 develop the brine ~~common source of supply~~ and allow for the
2 extraction of its constituent elements;

3 3. Unitized operation as applied to such brine common source of
4 supply or produced water is feasible and will prevent waste and,
5 with reasonable probability, will result in greater ultimate
6 recovery of brine and its constituent parts;

7 4. Such unitization is for the common good and will result in
8 the general advantage of the owners of the brine rights within the
9 proposed brine production unit or produced water unit and will
10 protect the correlative rights of the owners within the brine common
11 source of supply or produced water; and

12 5. The creation of a brine production unit or produced water
13 unit will accomplish one or more of the following:

- 14 a. avoid the drilling of unnecessary wells,
- 15 b. prevent waste,
- 16 c. protect correlative rights, ~~or~~
- 17 d. increase the ultimate recovery of brine from the brine
18 common source of supply and unit covered by the
19 application, or
- 20 e. allow recovery and extraction of constituent elements
21 from produced water,

22 the Commission shall make a finding to that effect and enter an
23 order creating the brine production unit or produced water unit, and
24

1 requiring unitized operation of the prospective brine common source
2 of supply or portion thereof described in the order.

3 B. If the Commission in its hearing shall find by substantial
4 evidence that:

5 1. The proposed unit is a brine production unit, and not a
6 produced water unit;

7 2. Solution gas exists within the brine common source of supply
8 or prospective brine common source of supply;

9 ~~2.~~ 3. The production of brine is impossible or impractical
10 without also producing the solution gas; and

11 ~~3.~~ 4. The unitization of the brine common source of supply is
12 impractical or impossible without also unitizing the associated
13 solution gas,

14 the Commission shall make a finding to that effect and shall further
15 provide in its order for the unitization of the solution gas within
16 the brine production unit area.

17 C. Orders of the Commission entered pursuant to Section 87.1 of
18 Title 52 of the Oklahoma Statutes establishing drilling and spacing
19 units for the production of oil, gas or oil and gas shall not be
20 applicable to the drilling of brine wells ~~and~~ or the production of
21 solution gas from a brine production unit established by an order
22 issued pursuant to this act. However, such drilling and spacing
23 orders shall remain applicable to oil or gas wells and associated
24 oil and gas production, and shall serve as general nonmandatory

1 guidelines for establishing the size, shape, and common source of
2 supply of any produced water unit established under this act.

3 SECTION 7. AMENDATORY 17 O.S. 2021, Section 507, is
4 amended to read as follows:

5 Section 507. A. The order of the Corporation Commission shall
6 define the area of the brine common source or sources of supply or
7 portion thereof to be included within the brine production unit or
8 the produced water unit area. Each unit and unit area shall be
9 limited to all or a portion of a single common source of supply
10 Unless a larger size unit is determined to be appropriate under the
11 facts and circumstances, a produced water unit may be the same size
12 and cover the same geographical area as the spacing or drilling unit
13 or horizontal spacing unit created pursuant to Section 87.1 of Title
14 52 of the Oklahoma Statutes, the horizontal well unitization created
15 pursuant to Section 87.9 of Title 52 of the Oklahoma Statutes, or
16 unitized management area created pursuant to Sections 287.1 through
17 287.15 of Title 52 of the Oklahoma Statutes, of the associated oil
18 or gas well or wells from which the produced water is derived. Each
19 such produced water unit shall be limited to the equivalent common
20 source or sources of supply as the oil and gas common source or
21 sources of supply in the associated oil or gas well from which
22 produced water is being received for the extraction of constituent
23 elements of such produced water, unless the Commission determines

1 that the unitization of multiple brine common sources of supply is
2 necessary to prevent waste or protect correlative rights.

3 B. Brine owners within the brine production unit shall share in
4 the production of brine in the proportion that their acreage bears
5 to total acreage within the unit, unless the Commission, after
6 notice and hearing, shall provide for another method in the unit
7 plan. Solution gas owners within the brine production unit shall
8 share in production of solution gas in the proportion that their
9 acreage bears to total acreage in the unit, unless the Commission,
10 after notice and hearing, shall provide for another method in the
11 unit plan.

12 C. Brine owners within the produced water unit shall share in
13 the extracted constituent element or elements and any reclaimed
14 water derived from the production of produced water in the
15 proportion that their acreage bears to total acreage within the
16 unit, subject to any applicable lease royalty or if unleased, the
17 royalty set forth in the Commission order creating the produced
18 water unit. In the event a produced water unit consists solely of
19 lands situated within a single Oklahoma Corporation Commission-
20 approved multiunit horizontal well created pursuant to Section 87.8
21 of Title 52 of the Oklahoma Statutes, the produced water from such
22 multiunit horizontal well shall be allocated and shared by the brine
23 owners in each unit utilizing the same allocation factors approved
24 by the Commission for allocating the associated oil and gas

1 production to the individual units. The operator shall maintain
2 records reflecting the total number of barrels of produced water
3 received for processing from each oil and gas well and produced
4 water unit. Produced water received from a produced water unit may
5 be commingled with produced water from other produced water units or
6 brine production units for the purpose of extracting constituent
7 elements or reclaimed water. The gross production of constituent
8 elements or reclaimed water obtained from each produced water unit
9 shall be determined by the total volume of comingled produced water
10 received from the associated produced water unit prior to the
11 extraction of any constituent elements, and not by any other metric
12 unless so ordered by the Commission for good cause shown.

13 SECTION 8. AMENDATORY 17 O.S. 2021, Section 508, is
14 amended to read as follows:

15 Section 508. A. The plan of unitization for each such brine
16 production unit or produced water unit ~~and unit area~~ shall be one
17 suited to the needs and requirements of the particular unit
18 dependent upon the facts and conditions found to exist with respect
19 thereto. In addition to such other terms, provisions, conditions
20 and requirements found by the Corporation Commission to be
21 reasonably necessary or proper to effectuate or accomplish the
22 purpose of this act, and subject to the further requirements hereof,
23 each such plan of unitization shall contain fair, reasonable and
24 equitable provisions for:

1 1. The efficient unitized management or control of further
2 development and operation of the brine production unit or produced
3 water unit area. Under ~~such~~ the plan the actual operations of the
4 unit shall be carried on by one of the owners of the right to drill
5 for and produce brine within the unit area as unit operator or in
6 the case of produced water associated with oil and gas production,
7 by the operator of the produced water unit approved by the
8 Commission. The designation of unit operator shall be by majority
9 vote of the owners of the right to drill for and produce brine in
10 the unit in accordance with their acreage ownership in the unit or
11 as designated by the Commission in the case of produced water
12 associated with oil and gas production;

13 2. The method and circumstances under which brine or effluent
14 from the unit, or from any other source, may be injected into the
15 brine common source of supply under the unit area or into other
16 formations;

17 3. The fair, just and reasonable compensation to be awarded to
18 any owner within the brine production unit or produced water unit
19 who does not wish to participate in development of the unit by
20 paying such owner's share of unit costs;

21 4. The fair, just and reasonable manner of participation for
22 any owner desiring to participate in the development of the brine
23 production unit or produced water unit by paying such owners share
24 of unit costs;

1 5. The fair, just and reasonable allocation and distribution to
2 each owner and the value of such owner's share of the brine,
3 including the usable resources extracted from the brine, and
4 solution gas, if any, produced from the unit;

5 6. The procedure and basis upon which wells, equipment and
6 other properties of the owners within the brine production unit or
7 produced water unit area are to be taken over and used for unit
8 operations, including the method of arriving at the compensation
9 therefor, or for otherwise proportionately equalizing the investment
10 of the several owners in the unit;

11 7. The method of apportioning costs of development and
12 operation between owners of brine and owners of solution gas, if
13 solution gas has also been unitized;

14 8. The time when the plan of unitization shall become
15 effective; and

16 9. The time when and conditions under which the unit shall or
17 may be dissolved and all affairs concluded.

18 B. No order of the Commission creating a brine production unit
19 and prescribing the plan of unitization applicable ~~thereto~~ to the
20 brine production unit shall become effective unless and until the
21 plan of unitization has been signed, or in writing ratified or
22 approved by record owners of the right to drill of not less than
23 fifty-five percent (55%) of the brine production unit area affected
24 thereby and by owners of record of not less than fifty-five percent

1 (55%) (exclusive of royalty interest owned by lessees or
2 subsidiaries of any lessee) of the royalty interest in and to the
3 brine production unit area and the Commission has made a finding
4 either in the order creating the unit or in a supplemental order
5 that the plan of unitization has been so signed, ratified or
6 approved by ~~lessees and royalty~~ brine owners of record owning the
7 required percentage interest in and to the brine production unit
8 area. Provided, however, in any instance where a ~~royalty~~ brine
9 owner has, through lease or other agreement, previously authorized
10 pooling or unitization of a size equal to or larger than the size
11 specified in the Commission order, said lease or other agreement
12 shall be deemed to be ~~such royalty~~ the brine owner's authorization
13 to unitize, and no additional signature, ratification or approval
14 shall be necessary from such owner, unless the lease provides for a
15 different production sharing formula than set out in the plan of
16 unitization. Further provided, however, in any instance where a
17 ~~royalty owner has~~ the brine owners of record have, through lease or
18 other agreement, previously consented to have the unit boundaries
19 and the allocation formula established by the Commission, said lease
20 or other agreement shall be deemed to be ~~such royalty~~ the brine
21 owner's authorization to unitize, and no additional signature,
22 ratification or approval shall be necessary from such owner. Where
23 the plan of unitization has not been so signed, ratified or approved
24 by ~~lessees and royalty~~ brine owners of record owning the required

1 percentage interest in and to the brine production unit area at the
2 time the order creating the unit is made, the Commission shall hold
3 such additional and supplemental hearings as may be requested or
4 required to determine if and when the plan of unitization has been
5 so signed, ratified or approved by ~~lessees and royalty~~ brine owners
6 of record owning the required percentage interest in and to the
7 brine production unit area and shall, in respect to such hearings,
8 make and enter a finding of its determination in such regard. In
9 the event ~~lessees or royalty~~ brine owners, ~~or either~~ of record,
10 owning the required percentage interest in and to the brine
11 production unit area have not so signed, ratified or approved the
12 plan of unitization within a period of six (6) months from and after
13 the date on which the order creating the brine production unit is
14 made, the order creating the unit shall be deemed vacated and of no
15 force and effect. The provisions of this subsection are hereby
16 expressly made inapplicable to the formation of a produced water
17 unit.

18 C. A participating brine owner shall have a one-time election
19 to sell, and any brine owner in the unit with brine refining
20 equipment shall have the obligation to buy, the brine produced from
21 the unit at the value determined by the Commission; provided
22 however, nothing herein shall require the purchasing brine owner to
23 purchase brine when it is not producing brine from the unit for its
24 own account.

1 D. A party that meets the requirements of subparagraphs a and b
2 of paragraph 10 of Section 502 of this title may take possession of,
3 and process, produced water for the extraction of consistent
4 elements that is otherwise destined for disposal, prior to obtaining
5 an order from the Commission creating the produced water unit, but
6 in that event, the applicant shall file an application for the
7 establishment of a produced water unit within sixty (60) days from
8 the initial acceptance of the produced water. Upon the filing of an
9 application for the establishment of a produced water unit and prior
10 to the adjudication of the Commission of such application, the
11 applicant may, or shall in the instance where the applicant has
12 accepted produced water prior to the approval of a produced water
13 unit, seek emergency relief at the Commission for the immediate
14 production, commercial extraction and sale of constituent elements
15 or reclaimed water from produced water derived from the associated
16 oil or gas well, and the Commission shall grant such relief upon a
17 showing that such emergency relief is reasonable and necessary under
18 the established facts and circumstances to prevent waste.

19 The applicant shall have the right to collect all proceeds from
20 the sale of brine or its constituent elements and reclaimed water
21 prior to the entry of a final order establishing the produced water
22 unit, provided that, unless otherwise provided by a written lease or
23 contract with the brine owner, a set royalty share of the gross
24 sales proceeds of the constituent elements and reclaimed water

1 extracted, saved and sold, shall be held in suspense by the
2 applicant for the benefit of any unleased brine owners within the
3 proposed produced water unit until the Commission enters a final
4 order establishing the produced water unit. Such royalty share and
5 the royalty options set forth in the order of the Commission
6 approving the produced water unit shall be set by the Commission at
7 prevailing fair market value rate and may be adjusted based upon all
8 reasonable evidence introduced including, but not limited to,
9 evidence of the highest royalty paid for any arm's length negotiated
10 brine leases within the produced water unit and any adjoining
11 produced water unit.

12 SECTION 9. AMENDATORY 17 O.S. 2021, Section 510, is
13 amended to read as follows:

14 Section 510. A. The Corporation Commission shall have
15 jurisdiction to increase the size of an existing brine production
16 unit or produced water unit area where it is shown, upon proper
17 application, notice and hearing that:

18 1. Land adjacent to the existing unit is underlain by the same
19 brine common source of supply as that found within the unit area;
20 and

21 2. Inclusion of the additional land will either:

22 a. increase unit efficiency, ~~or~~

23 b. result in greater ultimate recovery of brine or
24 produced water, or

1 c. prevent waste; and

2 3. Inclusion of the additional land is fair, just and
3 reasonable, both to parties owning brine or produced water interests
4 in the additional land and to parties owning interests in the
5 existing unit; and

6 4. The requirements of Section ~~9~~ 508 of this ~~act~~ title have
7 been met.

8 B. The Commission shall have jurisdiction to decrease the size
9 of an existing brine production unit or produced water unit where it
10 is shown, upon proper application, notice and hearing, that the land
11 to be excluded is of no value to the unit because:

12 1. It is not underlain by the brine common source of supply;
13 and

14 2. Its presence does not contribute to more efficient unit
15 operations, by providing the site for an injection well or wells, or
16 by assisting in the conduct of waterflood operations, or by
17 otherwise increasing unit efficiency; and

18 3. Exclusion of the land is fair, just and reasonable.

19 SECTION 10. AMENDATORY 17 O.S. 2021, Section 516, is
20 amended to read as follows:

21 Section 516. Sections ~~2~~ 501 through ~~46~~ 515 of this ~~act~~ title
22 shall not have any effect on any existing brine, solution gas or
23 brine and solution gas units which have been created voluntarily or
24 by a judicial decree to the extent such unit was established as of

1 ~~the date of this act~~ September 1, 1990. Any existing brine or brine
2 and solution gas unit may be expanded using the provisions of this
3 act.

4 SECTION 11. AMENDATORY 17 O.S. 2021, Section 517, is
5 amended to read as follows:

6 Section 517. A. The proceeds derived from the sale of brine,
7 produced water, solution gas, or brine and solution gas production
8 shall be paid to persons legally entitled thereto, commencing no
9 later than six (6) months after the date of first sale, and
10 thereafter no later than sixty (60) days after the end of the
11 calendar month within which proceeds are received for subsequent
12 production. In those instances where proceeds are not received for
13 disposition of brine, produced water, solution gas, or brine and
14 solution gas production due to venting, flaring, use for operations,
15 nonpayment from purchasers, or any other cause, the time periods
16 previously specified within which any required payment shall be paid
17 to the persons legally entitled thereto shall be measured from the
18 date on which such venting, flaring, use for operations, nonpayment
19 or other event occurred. Provided, proceeds from the sale of brine,
20 produced water, and solution gas from lands covered by a pending
21 application for unitization pursuant to this act shall be paid to
22 persons legally entitled thereto within six (6) months from the
23 entry of a final order of unitization, together with interest
24 thereon at the rate of six percent (6%) per annum to be compounded

1 annually, calculated from the date of first sale after the filing of
2 the application for unitization. Such payment is to be made to
3 persons entitled thereto by the operator of such production.
4 Provided, such operator may remit to the persons entitled to such
5 proceeds from production semiannually for the aggregate of six (6)
6 months' accumulation of monthly proceeds of amounts less than
7 Twenty-five Dollars (\$25.00). Further provided, that any delay in
8 determining the persons legally entitled to an interest in such
9 proceeds from production caused by unmarketable title to such
10 interest shall not affect payments to persons whose title is
11 marketable. Provided, however, that in those instances where such
12 proceeds cannot be paid because the title thereto is not marketable,
13 the operator of such production shall cause all proceeds due such
14 interest to earn interest at the rate of six percent (6%) per annum
15 to be compounded annually, calculated from the last day of the
16 production month, until such time as the title to such interest has
17 been perfected. Marketability of title shall be determined in
18 accordance with the then current title examination standards of the
19 Oklahoma Bar Association.

20 B. The following information shall be included with each
21 payment made to a brine owner from the sale of brine:

22 1. Unit identification;

23 2. Month and year of sales included in the payment;

1 3. Total volume of production from the unit of brine, produced
2 water, or solution gas and in the case of a brine production unit,
3 the concentration of chemical substances contained therein and
4 volumes extracted therefrom;

5 4. Owner's interest, expressed as a decimal, in production from
6 the unit;

7 5. Total value of extracted chemical substances and solution
8 gas, including the price per unit of measurement at which the
9 products were sold;

10 6. Owner's share of the total value of sales prior to any
11 deductions;

12 7. Owner's share of the total value of sales after any
13 deductions; and

14 8. A specific detailed listing of the amount and purpose of any
15 deductions, including, but not limited to BTU adjustments and taxes,
16 from the gross proceeds due to the owner.

17 C. Any operator that violates this section shall be liable to
18 the persons legally entitled to the proceeds from production for the
19 unpaid amount of such proceeds with interest thereon at the rate of
20 twelve percent (12%) per annum to be compounded annually, calculated
21 from the last day of the production month.

22 D. The district court for the county in which the unit is
23 located shall have jurisdiction over all proceedings brought
24 pursuant to this section. The prevailing party in any proceeding

1 brought pursuant to this section shall be entitled to recover any
2 court costs and reasonable expert witness and ~~attorney's~~ attorney
3 fees.

4 SECTION 12. AMENDATORY 17 O.S. 2021, Section 519, is
5 amended to read as follows:

6 Section 519. Before entering upon a site for brine well
7 drilling, except in instances where there are non-state resident
8 surface owners, non-state resident surface tenants, unknown heirs,
9 imperfect titles, surface owners, or surface tenants whose
10 whereabouts cannot be ascertained with reasonable diligence, the
11 operator shall give to the surface owner a written notice of his or
12 her intent to drill containing a designation of the proposed
13 location and the approximate date that the operator proposes to
14 commence drilling.

15 Such notice shall be given in writing by certified mail to the
16 surface owner. If the operator makes an affidavit that he or she
17 has conducted a search with reasonable diligence and the whereabouts
18 of the surface owner cannot be ascertained or such notice cannot be
19 delivered, then constructive notice of the intent to drill may be
20 given in the same manner as provided for the notice of proceedings
21 to appoint appraisers set forth in Section ~~22~~ 521 of this ~~act~~ title.

22 Within five (5) days of the date of delivery or service of the
23 notice of intent to drill, it shall be the duty of the operator and
24

1 the surface owner to enter into good-faith negotiations to determine
2 the surface damages.

3 The provisions of Sections 519 through 522 of this title are
4 hereby expressly made inapplicable to the formation of a produced
5 water unit.

6 SECTION 13. It being immediately necessary for the preservation
7 of the public peace, health or safety, an emergency is hereby
8 declared to exist, by reason whereof this act shall take effect and
9 be in full force from and after its passage and approval.

10 Passed the House of Representatives the 25th day of March, 2026.

11
12 _____
13 Presiding Officer of the House
14 of Representatives

15 Passed the Senate the ____ day of _____, 2026.

16
17 _____
18 Presiding Officer of the Senate
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